education, minus the technical/vocational component, should be governed by the present policy of not-for-profit education.

Educational institutions of leading countries in the field receive students from abroad for onsite teaching and also establish branches in different forms abroad to set up education facilities in host countries. In WTO parlance, there are four modes of trading in services. The provision of education service in the first case (where a student goes to the teaching institution in another country) is considered trading of services in Mode 2 (i.e., consumption abroad). Provision of education service in the second case is considered trading in services in Mode 3 (i.e., commercial establishment abroad).

According to a background note prepared by the WTO Secretariat in 2010, South Asia recorded the largest growth in sending students to study abroad between 1999 and 2007, an increase of 150 per cent in this period. It further listed India as the fourth largest importer of education services in 2007 with a share of 9.1 per cent in total global expenditure on import of education services. Curiously, India did not figure even in the top twenty exporters of education services—Slovenia was the twentieth largest exporter with a share of only 0.1 per cent in global education exports. The situation has only worsened since 2009. In 2019, India had over 3.75 lakh students studying abroad. We also had the second largest number of foreign students studying in the US.

We need to encourage foreign universities and technical institutions to establish their branches in India or set up universities in the country. This would lead to three significant advantages. First, Indian students would not need to go to foreign universities as they would get the same quality of education at home. Second, these foreign universities would collaborate with Indian corporates and educational institutions to establish Indian branches/universities that, in due course, would grow to be able to establish branches/institutions abroad. This has happened in many other industries